

Chapter Review

6-8b Key Terms

consigned inventory (Merchandise that is shipped by manufacturers to retailers who act as the manufacturer's selling agent.)

consignee (The retailer in a consigned inventory arrangement.)

consignor (The manufacturer in a consigned inventory arrangement.)

days' sales in inventory (The measure of the length of time it takes to acquire, sell, and replace inventory, computed by dividing the average inventory by the average daily cost of goods sold.)

first-in, first-out (FIFO) inventory cost flow method (The method of inventory costing based on the assumption that the first units purchased are the first units sold; the method of inventory costing based on the assumption that the costs of merchandise sold should be charged against revenue in the order in which the costs were incurred.)

gross profit method (A method of estimating inventory cost that is based on the relationship of gross profit to sales.)

Inventory turnover (A measure of the number of times inventory is turned into goods sold during the year, computed by dividing the cost of goods sold by the average inventory.)

last-in, first-out (LIFO) inventory cost flow method (A method of inventory costing based on the assumption that the last units purchased are assumed to be sold and the ending inventory is made up of the first purchases.)

lower-of-cost-or-market (LCM) method (A method of valuing inventory that reports the inventory at the lower of its cost or current market value (net realizable value).)

net realizable value (The estimated selling price of an item of inventory less any direct costs of disposal, such as sales commissions; the value of the receivables reduced to the amount that is expected to be collected or realized, computed as accounts receivable less allowance for doubtful accounts.)

physical inventory

purchase order (The document authorizing the purchase of the inventory from an approved vendor.)

receiving report (The form or electronic transmission used by the receiving personnel to indicate that materials have been received and inspected.)

retail inventory method (A method of estimating inventory cost that is based on the relationship of cost to retail price.)

specific identification inventory cost flow method (The method of inventory costing in which a unit sold is identified with a specific purchase.)

subsidiary inventory ledger (The subsidiary ledger containing individual accounts for items of inventory.)

weighted average inventory cost flow method (A method of inventory costing in which the cost of the units sold and in ending inventory is a weighted average of the purchase costs.)

Chapter 6: Inventories: 6-8b Key Terms

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